

STREET FOOD VENDORS

in Sri Lanka

A study on people who sell food at street



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Introduction

In 1999, the South Asian Regional Office of the Intermediate Technology Development Group (ITDG), based in Colombo in collaboration with the National Youth Services Council in Sri Lanka (NYSC) conducted a survey of Street Food Vendors to gather basic information related to the street food sector in the Colombo district.* While appropriate technology interventions for the quality improvement of the street foods and improve the livelihoods of small scale vendors were the primary interests of the ITDG, other related issues such as institutional strengthening, entrepreneurial skills development and awareness on the rights, entitlements and compliances were also considered as important for investigation.

Findings of this initial survey and key recommendations subsequently led to an in-depth study in order to obtain necessary inputs for a formulation of a development plan to improve the livelihoods of street food vendors.

This publication is primarily based on the findings of ten case studies conducted to gain insights into the entrepreneurial aspects of street food business. Conducted during the period 2000 - 2002.

The ten street food vendors of this study were selected from a previous survey conducted under this project covering about 60 vendors in the Colombo Fort and Pettah areas. Vendors were selected to represent different scales of operation. However, street food vendors operating under permanent shelter/structures, those using mobile vans and others preparing and selling food for sales outlets have been excluded from this sample of ten case studies. The purpose of the study was to identify the;

- ☐ Characteristics associated with street food vendors in carrying out their business operations
- ☐ Problems and constraints they experience in their business enterprises and
- ☐ Potential interventions for strengthening the street food vendors as an economically active category of small entrepreneurs

In the analysis of findings references were also made to subsequent surveys and studies conducted by ITDG (2001) on energy use patterns of street food vendors in Sri Lanka.*

Pseudonyms have been used in the case studies to retain the anonymity of respondents.

The conduct of the case studies of street food vendors referred to and the formulation of a development plan to improve their living conditions was supported with a modest financial grant received from the Swisscontact, an international NGO operating in Sri Lanka.

Street Foods: Its Significance

Street foods are defined as “ready-to-eat food and beverages prepared and/or sold by vendors and hawkers in the streets and other public places” (FAO 1988).

Street food vendors, for the purpose of this study are defined as **“vendors who prepare and/or sell food on street/public property for which the labour inputs is exclusively from an individual or from the members of his/her immediate family”**. The advantages associated with street foods are that they are cheaper, include variety and traditional foods, are quickly served, for instant consumption, tastier and may provide nutritionally balanced meals. Urban population growth and the migration to urban centers for employment created a demand for relatively inexpensive, ready to eat food, stimulating a rise in the number of street food vendors in many cities throughout the world. With more people joining the labour force and the marked increase in the number of women taking to jobs for their liveli-

hoods, street foods have become a popular food source. For example, in Kuala Lumpur (Malaysia) and Iloilo (Philippines) almost 25 % and 30 % respectively of the household expenditure goes for street food. In Bangkok, 90 % of the population goes out for meals, a majority of the time (Wnarno and Allail, 1991). The variety of foods offered attracts all segments of the society to street food vendors. This non-formal activity of street food vendors feeds millions of people everyday and employs millions of semi-skilled and unskilled people. Low investment required to setting up a street food business and the possibility of entering into the business without any specialized training other than the domestic experience of preparing food coupled with the increasing demand could be attributed to the growth of street food businesses in many cities. Variety and diversity of street foods around the world reflects the variations in culinary art related to different cultural, ethnic and religious groups.

Employment

Street foods play a central role in the urban informal food sector. Research studies conducted in Asia, Africa and Latin America demonstrate that street foods play an important role in social and economic development of the urban sector while serving the food and nutritional requirements of consumers at prices affordable to the lower and middle-income groups. Street foods provide income and employment for a large number of people. Studies conducted by the Equity Policy Centre in Washington (Tinker, 1997) in seven developing countries showed that street foods provide employment for 6 % to 25 % of the labour force in the cities studied.

The street food business often involves services of entire families in the procurement of raw materials, preparation and cooking as well as the sale of food. The business is also characterized by its low capital investment. Women play a very vital role in the street food sector through their direct and/or indirect involvement in the business depending upon the cultural norms of different countries. In countries such as the Philippines, Peru, Guatemala, Senegal and Thailand, women constitute over 50 % of all vendors. On the contrary only 1 % of the vendors of street food in Bangladesh are women, but 37 % are engaged in producing food (Battcock 1992).

Incomes

The incomes of street food vendors are three times the average agricultural wage and is above the minimum wage. In some countries it is considered to be as much as three to ten times the minimum wage. In Malaysia, net incomes varying from US\$ 4 to US\$ 36 with an average of US\$ 16 per day are derived from daily sales of street foods ranging from \$ 10 to 120.



The ITDG studies conducted in Sri Lanka revealed that in around 15 % of the sample studied daily sales exceeded US\$ 22 and around 46 % of the studied sample registered sales around US\$ 12 per day. Available data and statistics show that in the Indonesian city of Bogor with a population of 250,000 there are 18,000 street food enterprises, nearly one for every 14 people. Annual sales of street foods in the Bogor city amount to US\$ 67 million (Cohen 1984). Similarly, annual street food sales of 100,000 street food vendors in Malaysia amount to US\$ 2.2 billion (Allain 1988). About one million people are estimated to be involved in various aspects of the street food business in China while approximately 20,000 vendors were found to be available 24 hours a day in Bangkok with sales of US\$ 20 to US\$ 80 per day.

Food for Poor:

Street foods provide a sizeable proportion of daily nutritional needs of millions of people including the very poor and rural urban migrants who work as casual labourers. Those with little or no income depend almost exclusively on food supplied by the street food vendors. Studies have shown that this can be as much as 20 % of the food budget of urban families and that street foods can be cheaper than cooking at home. This is particularly important in providing food at affordable prices for urban population in the context of rapid urbanization and rural urban migration, a characteristic of many major cities in the developing world. When the demands on time and costs of food, fuel, cooking equipment and transportation are taken into account street foods are a bargain for the customers. Further, as Allain has pointed out availability and accessibility rather than individual income or state of national development seems to determine street food consumption patterns (Winarno, Allain 1998).

Urban Migration & Poverty:

Street food business is one of the key micro enterprises of poor in the urban informal sector and from a development perspective any interventions geared towards the improvement of this sector directly relates to the much broader theme of urban poverty eradication and urban food security.

According to Amis (Amis, 1999) employment is the single most important determinant of the urban poverty. This issue of urban poverty has become particularly relevant given the nature and dimensions of the urbanisation process at world scale (Ramirez 2000). The Human Development Report of 1998 forecasts that the world urban population will become 55 percent of the total by 2015. Table I below shows internal migration patterns in some of the developing countries as a source of urban growth.

Table I

Internal migration as a source of urban growth in selected developing countries

Country	Annual urban growth (%)	Share of growth due to migration (%)
Argentina	2.0	35
Brazil	4.5	36
Colombia	4.9	43
India	3.8	45
Indonesia	4.7	49
Nigeria	7.0	64
Philippines	4.8	42
Sri Lanka	4.3	61
Tanzania	7.5	64
Thailand	5.3	45

Source : K. Newland, *City Limits*, in Todaro M.P.- *Economics for a Developing World* (1998)

Street food as an integral part of the informal sector

It is argued that the contribution of street food vendors to the economies of the developing countries has been vastly underestimated and neglected. This is mainly because the street food vendors are regarded as a part of the informal sector¹. Though the importance of the informal sector is yet to be recognized by governments and policy makers, according to the ILO estimates less-formal activities are increasing around the world. It is estimated that the share of the urban labour force in the informal sector varies from 20 % to 70 % with an average of 50 % (Sethuraman, 1997). In the city of Bogor, Indonesia roughly 26 % of workers active in the informal sector are directly employed as street food vendors.

Notwithstanding the current status of the informal sector in terms of its recognition, the rapid increase in urban populations and increasing awareness of the limited employment opportunities generated by large-scale industries, policy makers and planners are beginning to acknowledge the importance of the informal sector.

Despite its ubiquitous nature, development interventions have not been forthcoming until the recent past. In line with the affirmation made at the International Conference on Nutrition (ICN) held in 1992 and the World Food Summit (WFS) held in 1996 regarding the “right of everyone to have access to safe and nutritious food, consistent with the right to adequate food and the fundamental right of everyone to be free from hunger”, the 23rd session of the FAO’s Committee on World Food Security (CFS) held in 1997 recognized the need for quality and hygiene regulations to promote street food as a healthy food source and supported the FAO’s work

¹ Informal Sector

A term which is commonly used to encompass petty trading, self employment, casual and irregular wage work, employment in personal services or in very small micro enterprises in manufacturing and services. Those unable to find or retain full time regular wage employment swell the ranks of the informal sector characterized by its relative ease of entry with low capital investment requirement, and by being relatively labour intensive and unregulated. By contrast, work in the formal or modern sector refers to larger scale enterprises and employers with relatively stable employment, higher wages and more regulation of work conditions, and where workers can organize themselves more easily. Informal sector enterprises are not officially registered businesses and exist largely outside the tax system. They are often illegal.

Urban poverty is a multidimensional situation affected by cultural, local and social conditions, interpreted subjectively and lived differently by people according to their gender, age, ethnic origin and abilities. For the urban poor, it is an indivisible whole, an on going day today reality where they not only lack income and access to assets and basic services but also experience a devalued social status, marginalisation in urban space and degraded living environment, limited access to justice, information, education, decision making power and citizenship: and a vulnerability to violence and loss of security.

(Recife Declaration 1996, adopted from Ramirez)

in providing technical assistance in street food related activities (FAO 1999). Since then the FAO has been conducting a number of Regional Workshops and Regional Seminars to promote and regularize the street food sector in the developing world.

Emerging interest in the street food sector is due to many reasons that are of importance to economic, social and cultural life of the developing countries. Internationally, the financial turn-over of this unofficial industry runs into billions of dollars, reflecting the need to bring this venture into sharper focus and to explore the possibility of development strategies to make street food vending a viable economic pursuit.

Enhancing the profitability of the street food sector is important primarily because a substantial section of this sector runs at subsistence level, not capable of economic accumulation with a tendency to drive down incomes. This is mainly due to a number of issues pertaining to the productivity and the profitability of micro enterprises. Therefore, in designing development interventions in the informal micro enterprise sector in urban areas it is important to consider a number of specific features of urban poverty. Amis (Armis 1999) suggests the following; They are;

- (1) Access to labour markets (both social and physical)
- (2) Capacity of the informal sector to absorb the unemployed
- (3) Vulnerability of the poor to changes in market conditions
- (4) Female headed households among the poor
- (5) Tendency to pay more for services and to have more westernised tastes
- (6) Fewer coping strategies, in particular an absence of common goods and a greater reliance on state provision of basic goods
- (7) Individualisation and private nature of much urban poverty, determined by shocks which affect individuals rather than communities
- (8) Assets and debts as survival strategies for shocks

- (9) Greater exposure to environmental risks in terms of human pathogens and industrial toxic compounds
- (10) Importance of links to the rural economy for survival and seasonality in urban poverty

Challenges

Street foods are seen and perceived from different perspectives by various stakeholders. Street foods are a problem, an opportunity and a challenge at the same time (Winarno 1988). The problem is the control and maintenance of the quality and the safety of foods offered for sale. The opportunity lies in employment generation through small enterprise development and its role in the promotion of traditional and local food habits. The challenge is the provision of various support services including infrastructure and utilities by government and municipal authorities to encourage the formal development of the sector while maintaining and assuring the safety and the quality of the street foods. The challenge is mainly due to the need for official recognition of this very large segment of the informal sector. Very often street foods are looked down upon with scorn by different agencies for a variety of reasons, mainly for being sources of possible food poisoning and disease outbreak and at the same time causing traffic problems and environmental pollution and in the Sri Lankan context even a potential threat to the security of the institutions and life in cities.

While street foods make an enormous contribution to the urban food supply, and to the local economy and the employment generation for otherwise marginalized communities, it is also believed that the street foods can be a potential source of harm to health due to the improper methods of preparation and handling and raw materials used. Most food borne diseases are associated with the bacteria *Staphylococcus aureus*, *Salmonella* spp., *Shigella* spp., and *V. Cholera*. In soft drinks high incidence of contamination by coliforms, *Escherichia Coli*, *Staphylococcus aureus*, *Clostridium perfringens*, *Salmonella* spp., yeast and moulds have been reported by many studies. Another important issue is the abuse of artificial sweeteners and artificial colouring agents used in beverages. Most commonly found chemicals were saccharin, excess amounts of benzoic acid, Ponaceau 4R and brilliant blue.

Street Food Sector in Sri Lanka

Street food vending in the days gone by, was rather a rare phenomenon in Sri Lanka, for the simple reason that the demand for street food was almost non-existent. Women folks who were more or less relegated to their households took care of this need within the family environs. Nonetheless there was the itinerant vendor who visited homes or went along the paths and bypaths trading his range of flour-based products – bread, buns and other sweets. Emergence of the network of boutiques and tea kiosks in rural areas led to the withdrawal of this vendor from the scene. There were also the female vendors who plied their snacks, roasted and boiled gram, fruits, nuts and so on in the vicinity of schools, getting a very meager sum to supplement the family income, or just to earn an extra buck. Similar operations by female vendors were also seen and are even now prevalent at gatherings like religious festivities at temples, churches and kovils. These activities did not make any stronger impact on family incomes and furthermore such operations were a few and far apart.

Expansion of the economic activities during the past few decades, women gaining access to employment opportunities much more than before and the pressure exerted on the job market saw a resurgence of street food vending, which today is a many-faceted economic interest.

The street food vendors in Sri Lanka are not enumerated in the formal sector of the country's economy. They are identified as those belonging to the *informal sector* where their businesses are conducted as a form of *irregular, unstable* and *marginal* economic activities. As such there is no systematic documentation of the numbers of street food vendors, their scale of businesses or the viability of their pursuits. However, observations indicate the existence of a substantial number of street food vendors particularly in the urban centers. The street food vendors are gaining significance in the present socio-economic context primarily because of five important reasons.

Firstly, they are a *self-employed category of small entrepreneurs* who are not dependent on any institutional structures to find their livelihoods. Their enterprises evolve exclusively around their own individual strengths and the support extended to them by their immediate social networks such as family members and other close associates. For example, a survey conducted with 100 street food vendors by the ITDG in 2001, it was observed that only in 1/3 of the sample that vendors prepared food by themselves or bought from outsiders and sold without any assistance from their family members. A majority of the vendors (more than 60) were assisted both by their wives and by their family members. For example, 30 vendors were assisted by a single family member, particularly his/her spouse. Another 20 were assisted by three other family members. 7 were assisted by two family members while another 4 were assisted by more than three family members. Thus, it can be argued that street food business in Sri Lanka is not an economic activity confined to a single individual, i.e. male or female, but rather an activity carried out with the involvement of the 'family' as a whole. Both male and female and young and adult members of the families contributed significantly in carrying out their business operations.

The earnings from their business enterprises are a means of living for the vendors themselves and their dependent family members whose numbers range between 4 – 6. As such, these economic activities of the street food vendors have not only provided a source of livelihood to the vendors and their dependent family members but also have reduced the plight of their becoming an economic and social burden on the state. Steadily increasing number of the category of vendors entering the folds of this activity surfaces the need for a sort of institutional intervention to better their well being.

Secondly, street food satisfies the food consumption need of a significant section of the population. The food sold on the streets is *relatively cheap and readily available*. It is sometimes brought to the doorstep of the customers and sold on credit as done by the

vendors operating at the Manning Market in Colombo. Street food, therefore, not only meets the food requirements particularly of those of the low income categories but also the busy customers who do not have much time either to prepare their own food or to go to other eating houses where probably the food is more expensive and servicing is time consuming. For example, it was observed that a significant proportion of the clientele of the street food vendors operating in the Colombo Fort, Pettah and the Manning Market consists of daily commuters to Colombo, the office staff, vendors, petty businessmen, manual labourers, truck and lorry drivers, etc., a majority of these clients are from the low-income categories and are busy with their transactions. Thus, street food is of greater concern because it effectively meets the food requirements of a significant section of the economically active urban population.

Thirdly, street food vendors *do not have any support from the formal institutional set-up* either to improve their enterprises or to protect them from undue external forces despite they being a significant cross-section of the economically active population and service a relatively large section of the urban population. The usual attitude from different formal institutions towards street food vendors is that they sell unhygienic and low quality food to the customers, encroach on public property, largely contribute to environmental pollution by dumping garbage on the streets, engage in criminal activities under cover and are a nuisance to maintaining law and order. The street food vendors are perceived as an unreliable category of people with whom formal institutional transactions are considered to be impossible. The vendors claim that they are frequently being victimized by the formal institutions such as the Police, the Public Health Institutions, Local Government Authorities, etc., particularly at times of outbreak of epidemics and civil disturbances resulting in the loss of livelihood sources and economic difficulties to the vendors and their families. Given the growing numbers of the street food vendors and the customers who patronize them, the issues and problems the vendors encounter need special attention of the authorities concerned.

Fourthly, Street foods, if diversified and enriched with protein and vitamins can be successfully used to combat malnutrition and vitamin deficiencies of poor children since several thousands of school children consume street foods daily.

Fifthly, street foods can be used to reintroduce disappearing traditional food items, due to mass advertisements of trans-national food companies striving to introduce more westernised tastes.

At a time when an endeavor is made to give a fillip to self-employment, to ease the pressure of joblessness, this gradual expan-



sion of street food vending augurs well for the future, provided some development interventions are introduced within a framework of state recognition and assistance to regularize the operations.

Vendors and their characteristics

A glimpse of the socio-economic background of the vendors is presented to help understand who the street food vendors in Sri Lanka are.

- ❑ Both males and females and married and unmarried operate as street food vendors. They cut across different nationalities and religious faiths in the country. Their age range is between 25-60 years with a majority being in the age group of 30-40 years.
- ❑ Many street food vendors and their families have their origin in **rural backgrounds** or have moved to urban centers at a later stage or else live in rural areas and travel daily to the city for their business operations. For example, Kapila, the lunch packets vendor (case study no. 10) and Velu, the gram vendor (case study no. 4) had their origins in the villages of the Southern and Central Provinces respectively and have subsequently migrated to Colombo. Such migrant-vendors have found residence either in a slum in Colombo (e.g. Velu, the gram vendor – case study no. 4 and Perumal, the tea and breakfast vendor – case study no. 8), or in a Colombo suburb (e.g. Rajan, the *wade* vendor – case study no. 1 and Kapila the lunch packet vendor – case study no. 10). Meanwhile, David, the tea vendor (case study no. 7) Ranjith, the lunch packet vendor (case study no. 2) and Gamini, the *kolakenda* vendor (case study no. 5) travel daily to the Colombo city from their homes located in rural areas, about 20-30 km away from the city.
- ❑ The low **level of education** achieved by the street food vendors is observed in the case of a majority, education levels varied between grades 5-8. It was only in the cases of Nimal, the sandwich vendor (case study no. 5) and Kapila, the lunch packet vendor (case study no. 10) who have reached the standards of the GCE A/L. One of the constraints for their achieving a higher level of education is the economic difficulties experienced by the families.



- ❑ Many street food vendors are constrained by the **unstable socio-economic backgrounds in their families**. For example, Rajan, the *wade* vendor (case study no. 1) belonged to a family whose parents had been estate labourers. The meager incomes received by the family induced Rajan to give up his education at young age and work as a labourer on the estate to support his family members. Raja, the pineapple and mango vendor (case study no. 3) did not even know who his parents were. Anthony and Hemalatha (case study no. 9) lost either of their parents in their early childhood and were compelled to find work for their survival.
- ❑ Employment history of the street food vendors shows their **previous involvement in several urban-based, irregular and low-paid income generating activities, which required hard manual labour**, prior to their involvement in the street food business. Their engagement in such activities was not sufficient for their sustenance. The result was that the vendors moved from one work place to another. For example, Rajan, the *wade* vendor (case study no. 1) had worked in eight other places before he became a street food vendor. Similarly Ranjith, the lunch packet vendor and Raja, the pineapple and mango vendor (case studies no. 2 and 3) had their previous employment in six other places before they started selling lunch packets and fruits respectively. Meanwhile, the soft drinks vendor (case study no. 9) had worked in four other places before he joined Hemalatha in selling *saruwath*.

Street Food as an Enterprise

As mentioned in chapter 1, street food vendors can be simply defined as “Vendors who prepare and/or sell food on street/public property for which the labour input is exclusively from an individual or from the members of his/her immediate family”. However, street food vending, as both a social and economic phenomenon is much more complex and defining ‘street food’ and giving it a comprehensive meaning is difficult. For example, there are vendors who sell food on the streets but neither involves his/her own labour nor of his/her family members. The vendors engaged in the street food business represent diverse characteristics and thus it is difficult to find one single definition or term that could better explain who a street food vendor is. The diversity that exists among street food vendors is reflected in the type of food they prepare/sell, the scale of their business, the mode in which they are operating, the locations in which they prepare and sell food, the type of clients to whom they sell food, etc.

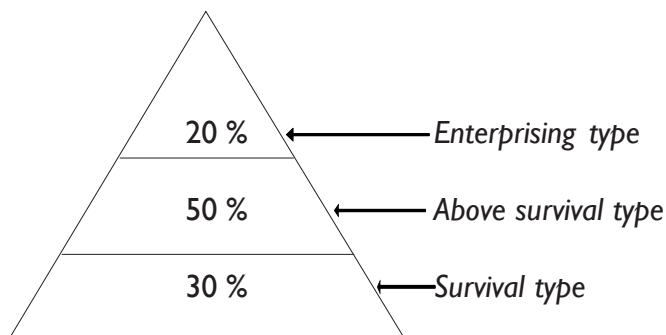
The following table shows this diversity and complexity of characteristics associated with street food vendors classified in terms of a few identified criteria.

Criteria	Characteristics associated with street food vendors
Gender	Both males and females are engaged in the business
Marital status	Both married and unmarried
Area of residence	Some live within the city itself; some live in the outskirts of the city and reach the city within a short time; some live far away from the city and travel daily using public/private transport
Food types	Breakfast; lunch; dinner; short-eats (wade, gram, rolls, etc.); tea; (kolakenda, saruwath, etc.); sweetmeats; fruits; ice cream
Business times	Some operate only in the mornings; some in the noon; some in the evenings; some all throughout the day
Business locations	Some have a permanent place to operate their business such as the Manning market in Colombo; some are mobile
Food preparation	Some prepare food at home; some prepare on street; and some at home and do warming-up on the street; some do buying and selling
Type of labour	Labour input of the vendor himself; labour involved input of the vendor and his/her spouse; labour input of the vendor, spouse and children; labour input of the vendor and other family members; labour input of the hired persons
Mode of operation	Some operate carts; some carry their food in baskets or boxes; some use mobile stoves; some operate from a fixed place and under a shelter; some operate from automobiles such as vans
Type of clients	Some have regular/permanent clients; some do not have regular/permanent clients; some have both regular/permanent clients as well as other casual clients
Scale of the business	Daily operational costs and incomes of street food vendors vary from RS 300/- to RS 5,000/-; their daily net profits are in the range of RS 150/- to RS 2,000/-
Legal status	Few are registered. Majority are unregistered

The table on the characteristics of the street food vendors points to both the complexity and the diversity of the street food vending referred to earlier. One may succeed in developing a typology of street food vendors representing the different characteristics associated with them. However, it appears a difficult task.

Street food vendors belong to the informal sector of the country's economy and their business operations are irregular, unstable and marginal. These self-employed small timers do not depend on any institutional support, but rely mainly on their individual skills and capabilities with the backing of the network of immediate family members and other associates. Their areas of operation are the urban centers where the low-income groups and those who are busily occupied for the most part of the day look for the street food vendor to meet their requirements. This escalating demand has resulted in the steadily increasing trend of the street food vendors.

From an entrepreneurial perspective, street food vendors can be categorized into three types (Liyanarachchi 1998) as appearing in the following diagram.



However, the characteristics associated with a single type of street food vendors operating in highly congested urban centers and those operating in suburban/peri-urban areas may not necessarily be the same. For instance, the subsistence type vendors belonging to the very poor category and operating in urban centers may represent worse conditions in terms of personal hygiene compared to their counterparts in the suburban areas. There are other differences as well. From a development perspective, identification of these subtle differences are important as it helps in identifying specific interventions and support services needed to improve the street food sector.

Some of the characteristics associated with the business enterprises of street food vendors are highlighted in the following section.

- ❑ The **experience to engage in street food business** had come to the vendors while they were working in their previous work places. For example, Raja (case study no. 3) had been selling *wade* in Negombo, groundnuts in Ragama and green gram in Colombo before he became a pineapple/mango vendor. Kapila (case study no. 10) had been working in a restaurant belonging to one of his



uncles and carrying lunch packets to the Manning market before he himself became a lunch packet vendor. Ranjith, the lunch packet vendor (case study no. 2) had his previous experience in buying lunch packets from the harbor workers and selling them for four years. Punya, the wife of Gamini (case study no. 5) had training in *Kolakenda* preparation, which was an asset to start their business enterprise.

- ❑ **Social networks comprising kinship and friendship ties** have been extensively used and activated in entering the business by the vendors. These social relations have been useful in finding their initial capital as well as in entering their respective markets. For example, the initial capital to start the *kolakenda* business was given to Gamini by his wife's sister when Gamini was desperate to find a job. His acquaintance with the vendors at the Manning market at the time he helped his brother-in-law to sell *kolakenda* was useful to gain easy access to the market (case study no. 5). The clients who bought cutlets and *mun-guli* from Nimal earlier invited him to provide them with a better breakfast in the morning, which encouraged him to shift to the sandwich business (case study no. 6). Velu, the gram vendor (case study no. 4) was gifted with 5 kg of gram to launch his operations, by one of his friends when Velu and his wife Chandra were sick and did not have any source of income. Hemawathi (case study no. 9) was helped by a police officer known to her to start the business and a local politician to set up a hut in the premises of the Pettah bus station. The restaurant where Rajan works part-time allows him to keep his mobile stove and other equipment over night (case study no. 1) while a vendor at the Manning Market has given permission to David, the tea vendor to keep his equipment inside his vegetable stall over night (case study no. 7). Meanwhile, Kapila had found his initial capital for the business by mortgaging his wife's jewellery and taking a loan from a personal friend (case study no. 10)
- ❑ **The support from the family members** particularly from the wives of the vendors is significant and is one of the key factors determining the success of their enterprises. The street food vendors, whose wives play a significant role in preparing food, demonstrate a better performance in their respec-

tive street food business than the others who do not have such support. The food prepared and sold by the vendors with the involvement of their wives is perceived as of high quality by their respective clients particularly in terms of its taste and cleanliness and the demand for such food remains stable. Many vendors particularly those operating at the Manning market have a regular clientele who buys 80 % of their food. Among such wives who have extended their support to their husbands in the preparation of food are Lakshmi (*wade* – case study no. 1) , Shanti (lunch – case study no. 2), Chandra (gram – case study no. 4), Punya (*kolakenda* – case study no. 5), Renuka (sandwiches – case study no. 6), Letchchami (curries – case study no. 8) and Neela (lunch – case study no. 10).

- The street food vendors though they are recognized as those belonging to the informal economic structure and are not given any institutional support **generate a comparatively high income** from their respective business ventures. The following table shows the daily incomes and profits generated by the 10 street food vendors selected for the present study.

Case study no.	Type of food sold	Gross daily income in (approx. in Rs)	Daily profit (approx. in Rs.)
Case study no. 1	Wade	1,000.00	500.00
Case study no. 2	Lunch packets	4,500.00	1,370.00
Case study no. 3	Pineapple/Mangoes -		300.00
Case study no. 4	Gram	800.00	300.00
Case study no. 5	Kolakenda	250.00	150.00
Case study no. 6	Sandwiches	1200.00	400.00
Case study no. 7	Tea	350.00	250.00
Case study no. 8	Breakfast & Tea	1,400.00	750.00
Case study no. 9	Cold drinks	890.00	525.00
Case study no. 10	Lunch packets	2,250.00	1,135.00

In the context of the above information, the average daily income of a street food vendor is around Rs. 1,250/- while the average daily profit generated by him is approximately Rs. 575/-. Most street food vendors operate for an average of 25 days a month. This means that they are able to



generate a monthly average income of Rs. 31,250/- and an average profit of RS. 14,375/-. The financial contribution that street food vendors make to the country's economy, therefore, cannot be underestimated despite the fact that they operate within the informal sector of the economy, receiving no recognition or attention from the formal institutional sources for the improvement of their ventures.

However, one has to be extra cautious when calculating the incomes and profits of the street food vendors. The figures referred to are calculated only for statistical purposes and this may not be the most appropriate method for calculating the average incomes and profits of street food vendors given the variations observed in their incomes and profits. For example, the 'unrecoverable incomes' of the vendors have not been considered. Further, transport costs borne by the vendors have not been included in the income-expenditure statements of the vendors. Rajan, Gamini, Nimal and David (case study nos. 1, 5, 6, 7) use public transport to reach their market destinations. Ranjith uses his motorcycle to transport lunch packets to the city (case study no. 2). Kapila uses both public transport as well as three wheeler taxis to transport his lunch packets. There are several other 'invisible/indirect costs', which have not been considered when preparing income and profit statements. Therefore it is only a careful and detailed analysis of incomes and expenditures of the street food vendors would result in a realistic understanding of the nature of the incomes and expenditures of the street food vendors.

The food vendors who had support from their wives also **expressed their aspiration to further improve their present business enterprises as well as to diversify their economic activities**. For example, Nimal and Renuka (case study no. 6) look forward to buying a van to transport their sandwiches as well as to sell other food varieties, readymade garments, vegetables and fruits. Velu and Chandra (case study no. 4) are planning to move into a spacious house so that they can scale-up their gram business. Gamini and Punya (case study no. 5) aspire to equip their house with power supply so that they can use an electric grinder for *kolakenda* preparation and save on time. They are also thinking of having a motorcycle so that their difficulties in transporting *kolakenda* by public transport could be minimized. Further, Gamini would be able to buy vegetables and coconuts from the Manning market and sell them on his way back home, keeping a profit for himself. Kapila and Neela (case study no. 10) are of the opinion that their present transport costs could be reduced if they own a three wheeler bajaj or a motor cycle.

- ❑ The street food vendors are conscious of the fact that their business enterprises are largely dependent on their ability to provide **clean and relatively cheaper food** to their clients. According to them, if their clients perceive that the food they buy is unclean or prepared under unhygienic conditions and are not comparatively cheaper, they would lose their business. Thus, the respondent street food vendors in this study demonstrated their interest in providing their products cleaner and at an affordable price and had gone to the extent of taking some positive steps towards this direction. For example, Nimal wraps up his sandwiches inside a cellophane bag and further covers it up with a piece of paper before they are sold to the clients (case study no. 6). Punya objected to her husband's idea of using cellophane bags as containers for *kolakenda* instead of empty jam bottles thinking that *kenda* will get spoilt while closing the mouth of the bag without an electric sealer (case study no. 5). Meanwhile, David, Anthony and Hemalatha ensure that their drinking glasses are sufficiently washed daily with disinfectants before their tea and cool drinks are served to their respective clients (case study no. 7 & 9). Velu and Chandra (case study no. 4) too try their best to maintain hygienic conditions as much as they can in the process of preparing and packing the gram. However this observation is disputable and there is also evidence to show that many street food vendors are not concerned about the cleanliness of the food they sell. Instances of preparing and selling food under unhygienic conditions are also observed. For example, housing conditions of Perumal (case study no. 8) are not conducive for a food business at all even though he prepares only curries for breakfast. Raja in his dirty, soiled clothes and his addiction to smoking is far from suitable to be a food vendor (case study no. 3).

- ❑ ***The larger environment within which the street food vendors function is well assessed and understood by them.*** The consumer preferences are analyzed and they react effectively to the changes taking place outside their own environment. They adopt several strategies to keep their clientele intact. For example, Ranjith and Nimal present several options for their clients by having lunch packets of different varieties (case study no. 2) and sandwiches (case study no. 6) made with different types of pastes. Ranjith maintains the price of a lunch packet Rs. 5/- below the normal market price while Kapila (case study no. 10) does not rush to increase the price of his lunch packets along with the price increases at the res-

taurants. He maintains his own price for 2-3 months and gradually increases the prices to be in par with the prices at restaurants. Ranjith and Kapila also try to keep their production costs low by purchasing their raw material from the Manning market where the prices are relatively low. Velu tries to maintain his profit levels by substituting green gram when market prices of gram are on the increase.

Problems and constraints

The problems and constraints experienced by the street food vendors are discussed in this section.

- ❑ The street food vendors who provide nearly 80 % of their food to a regular clientele such as those operating at the Manning market **have to sell food to their respective clients on credit**. This is very common among the vendors who provide breakfast for the reason that their clients do not have much money on hands to pay for breakfast, as business transactions have not begun on full scale. Or else the vendors and businessmen are busy with their transactions and have no time to spare for settling these dues. The implication for the street food vendors is that they have to make several rounds to their clients to recover their dues spending another 4 -5 hours as well as additional money for their own food. It is observed that many vendors finish selling their food around 8.00 a.m. but hang around at the market till about 11.30 a.m. to recover their money. In spite of their repeated attempts to recover their dues in full, some clients either postpone their payment or do not pay at all. It was reported that nearly 20 – 30 % of the incomes due to the vendors is not recovered on the day itself resulting in cash deficits for the food vendors to purchase their raw materials for the following day. This is the experience of Velu (case study no.4), Gamini (case study no.5), Nimal (case study no.6) and Perumal (case study no. 8).
- ❑ The **difficulty of using public transport** to carry food to the market places is another constraint experienced by the vendors. Bus drivers and the conductors are reluctant to carry in their vehicles the big cardboard boxes of the vendors (Gamini – case study no. 5). Gamini also cannot reach his market destination if he missed the 4.30 a.m. bus resulting in a great loss for that day as his clients do not wait for his *kenda*. Nimal (case study no.6) finds it difficult to carry his sandwiches in the bus without getting them compressed particularly on rainy days and when buses are

crowded. The transport difficulties experienced by the vendors have also constrained them in scaling up their business enterprises even if they have an extra demand.

- ❑ The **price fluctuations** in the raw materials used in preparing food such as vegetables, rice, coconut, kerosene, etc., have an adverse effect on the street food vendors. For example, any increases in the raw materials used by them result in the increase of their operational costs. The street food vendors have only a limited choice to adjust the prices of their own food to commensurate with such cost increases primarily because of the competition they face from other food outlets such as restaurants. They have to ensure that the food they sell is comparatively cheaper and it has some attraction to their clients. Therefore, the benefits that a street food vendor can get from price increases in raw materials are limited. This may further result in the deterioration of the quality of food they sell, as street food vendors may tend to use low quality raw material in preparing food.
- ❑ **The profit that street food vendors generate is the remuneration for the labour that they put into the business.** Almost all the case studies point to the extensive labour time involved in the process of food preparation and marketing. For example, a vendor operating at the Manning market spends about an average of 6 hours to sell his food and recover the money from his clients. The food preparation takes another 6-8 hours on average. When more than one individual is involved in the business, which is the case in many, the amount of labour time put into the business increases enormously. Both Gamini and Punya (case study no. 5) spend almost 20 hours a day in the preparation of *kolakenda* and selling them. Similarly, Ranjith's wife and three daughters are involved in the preparation of lunch packets and they spend about 4 hours in the previous evening and another 5-6 hours the following day (case study no. 2). Though it is difficult to estimate the exact labour time involved in each of the business enterprises, the case studies show both the extensive and intensive labour involvement in the street food business. In the earlier mentioned survey of 100 vendors, a majority (53) of the vendors spent 10-15 hours on the street preparing and selling food. Another 38 spent more than 15 hours. 8 vendors spent 5-10 hours on the street. It was only one vendor who spent less than one hour for his business operations on the street. When comparing the labour involvement against the remuneration that food vendors receive to compensate for their labour one may see that in a ma-

jority of the cases their labour remuneration is far below the prevailing market rates for manual labourers. The prevailing market rates for manual labourers are in the range of RS 150/- to RS 200/- per 8 hours of work. Sometimes the labourers are provided with lunch as well. However, one should not rush to the conclusion that street food business is an unprofitable venture merely on the basis of its labour economics. The other social and economic advantages associated with the business and the alternative options available for vendors (e.g. can they find alternative employment?) should also be assessed when profits from the business are calculated. For example, the left over food from Ranjith's business is sufficient for his family to cover two meals a day (case study no. 2).

- The profits generated by the street food vendors from their respective businesses are sufficient to meet their consumption needs but **they can hardly make any savings for investment in improving their business enterprises.** In the earlier mentioned survey of 100 vendors, it was observed that *gross daily income* received by 26 vendors exceeded Rs.1500/- while another 25 vendors had a *daily gross income* ranging between Rs.1000/- and Rs.1500/-. The gross daily income of another 28 vendors ranged between Rs.500/- to Rs.1000/-. It was only 21 vendors who had a gross daily income of less than Rs.500/- per day. Though the gross incomes generated by the vendors appear to be quite significant, a rigorous cost-benefit analysis of street food businesses and an analysis of their expenditures and the number of days that vendors are able to engage in their respective businesses in a given month (approximately 25 days) are required before reaching any conclusion on the income and profit levels of the street food vendors. For example, in-depth case studies conducted with 25 street food vendors revealed that the daily profits generated by a majority (48%) of the vendors were less than Rs.500/- per day. The percentage of vendors who were able to generate a daily profit between Rs.500-1000 was 36%. The profits accrued by 12% of the vendors were in the range of Rs.1000-1500 while the balance 4% had a profit between Rs.1500-2000. In the context of vendors having relatively large families and several dependents to support with, the net profits generated by a majority of the vendors could be considered as hardly sufficient to meet the consumption needs of their family members, particularly at a time of increasing cost of living in the country as a whole as well as to make a worthwhile investment to improve their businesses. Though many food vendors and their wives have prospective plans for their fami-

lies, only a very few have the adequate financial assets to make their plans a reality.

❑ **Lack of institutional support** for street food enterprises has resulted in four major constraints according to the street food vendors.

- Lack of a fixed/permanent place to prepare/sell food
- Lack of identity and legitimacy to operate as street food vendors
- Lack of access to institutional credit
- Lack of favourable attitudes and behaviour on the part of relevant agencies towards street food vendors

Conclusions & Recommendations

- Street food vending has turned out to be the mainstay of many self-employed small-time entrepreneurs in the economies of almost all the countries; a widespread economic pursuit particularly in the developing nations of the Asian, African and Latin American regions, servicing the lower and middle income groups of the population. In Malaysia where these operations assume sizeable proportions the annual sales of around 100,000 vendors approximate US\$ 2.2 billion, bringing into sharper focus the importance and the income generating capacities of these ventures (Qureshi 1988).
- In the Sri Lankan context, street food vending is an offshoot of the wider complexities in the demographic and socio-economic matrix of the country. Migration to the city centres, more openings in the public and the private sector, the sharp upturn in the number of female employees created a demand for pre-prepared food within easy access to the work places in the cities. The street food vendors fitted well into this recent situation.
- The street food vending has come to stay in the Sri Lankan economy as a pursuit of the self-employed small timers in the informal sector whose activities are gathering momentum providing a service to a clientele comprising a sizeable segment of the working population in city centres. The ever-increasing pressure exerted on the opportunities available at the job

market has prompted the youths in particular to take to street food vending as their mainstay. This trend is on the increase reflecting the need for a mode of operation to regularise these activities in the interest of both the vendors and their steadily mounting clientele.

- A remarkable feature that characterises these sellers is that almost all of them, barring a rare exception are in the economically productive age group. They do not betray any inclination to go for salaried positions implying the impulses of job satisfaction which is a fusion of several factors – spirit of independence they enjoy, capacity for the deployment of family labour input and the potentials, they presume, they possess for further expansion and improvement of their ventures to assure a viability.
- Nonetheless, this sphere of activity offers many opportunities to cultivate national and local food habits, particularly the local herbal beverages which are now in high and steady demand and also widespread.
- The vendors are completely dependent on personal sources for their financial backing – Requirements of capital resources, loans required, if any, for recurrent expenditure are all from their kith and kin and transactions with the formal institutional structure are almost non-existent.
- The range of their earnings vary widely and in certain instances the income generated is of a relatively high level; yet the limitation of the sample involved does not permit any conclusive proof in this respect.
- The field is beset with problems; the activities of the street food vendors are marginal, irregular and unstable. Viability of their ventures leaves much to be desired. They deal in food and the perception within the formal sector is an unfavourable attitude to consider such food as sub-quality, unhygienic and contributing to outbreak of diseases. These vendors are also looked down upon as undesirable elements held accountable for environmental pollution littering the streets with waste, engaging in under cover criminal operations and a stumbling block in the maintenance of law and order.
- The street food vendors, the micro-scale of their ventures nonetheless have become indispensable at least among the city dwellers and the working population in the city centres and the escalating trend in their activities necessitates a shift of attitude on the part of the authorities concerned and in the formal sector by way of recognition for institutional backing to them.

- These self employed small scale entrepreneurs satisfy the daily food needs of a sizeable section of the population and a skill development programme targeting this segment of vendors, preferably sponsored by the formal institutional network particularly in the areas of food preparation and processing, quality control, management of their operations and where necessary the diversification of their pursuits and capital investment is imperative if any positive measures are contemplated to improve the lot of this economically active group.
- These vendors are generally from the poorest segment of the society and despite the marginal and unstable nature of their operations they are inspired by their intuition and strength to take up to this business and continue with it confronting numerous snags, the most acute being the absence of financial backing, which sometimes lead them to go for loans from personal sources at exorbitant interest rates. Within a framework of acceptance of their significant role, the leading financial institutions both in the public and the private sector can make an attempt, even on a trial basis to explore the possibilities of giving them a helping hand. Considering the potentials of the venture, assistance under poverty alleviation programmes such as “samurdhi” can be extended to this deserving group.
- The awareness of the vendors themselves of the problems, challenges and the future potentials of their ventures is an encouraging factor to get these small timers into the fold of an organisation under the aegis of which they can make a concerted effort for the furtherance of their pursuits.
- Some of the enterprising vendors who demonstrate the capacity to acquire entrepreneurial skills and potentials for further improvement of their ventures and the resolve and determination to continue their pursuits, can be immensely helped by introducing a coverage system for their benefits by the formal insurance institutional network, with a minimum periodical premium and with provisions for the vendors to produce this insurance policy as collateral for access to loans from formal institutional sources. This may be tried out with a selected group of vendors on a pilot project basis.
- All in all, further in depth research and explorations are necessary to look for ways and means not only to introduce some regularisation process for the betterment of the street food vendors but also to determine the employment generating capacities, their contribution to ease the pressure on unemployment and potentials available for more to get into this venture which is fast gathering momentum.

CHAPTER
five

Case Studies of Street Food Vendors

No
01**Rajan**
*The 'Wade' Vendor***Family background**

Rajan is a 38 year old, married Wade seller operating on the pavements in the Colombo Fort. He has studied up to grade 8 while his wife, Lakshmi has passed the GCE (OL) exam. It was reported that Lakshmi was working as a school teacher, earning Rs.300/- per month at the time they got married in 1980. They have four children, three sons looked after by Rajan's parents and a daughter kept with Rajan and Lakshmi who live in a rented out house in a suburb of Colombo. All the four children are attending school. Rajan and Lakshmi visit their parents and rest of their children in Thalawakele regularly and provide them with Rs.1500/- per week to meet their expenses.

Employment history

Prior to becoming a Wade seller, Rajan was involved in a range of activities to earn a living since his childhood days. He abandoned his schooling at the age of 16 years. Rajan has worked in several places in unskilled labour grades for periods ranging from 05 months to 02 years until he ended up as a casual labourer / waiter at a restaurant belonging to his friend for a remuneration of Rs.100/- per day. Since 1995 he has taken to Wade selling while working at the restaurant in the morning hours.

The Enterprise

Initial capital: The initial capital that he required to purchase the necessary apparatus, a kerosene cooker, an aluminium vessel (*koraha*), a tray to place fried wade etc., which amounted to around Rs.2,000/- was found through personal sources. In 1998, he bought a second hand electric grinder for grinding dhal, costing another Rs.10,000/-. For this investment too he depended on a loan through personal sources. Rajan has now settled all his outstanding loans.

Operation: Rajan's wife Lakshmi prepares the wade mixture, which she keeps ready for Rajan to take to Colombo on his return from the restaurant. He takes this by bus and starts frying wade around 3.30 p.m. The kerosene cooker and other apparatus used for preparing wade are kept overnight in the restaurant where he works. Rajan makes 400-500 wades daily, for six days a week.

Operational costs: The cost for preparing wades per day is tabulated below:

Cost item	Amount (Rs.)
5 kg of dhal (at Rs.35/- per kg)	175.00
1 kg of green chilly	60.00
2 bottles of kerosene oil (at Rs16/- per bottle)	32.00
1 ½ bottles of coconut oil (Rs.60/- per bottle)	90.00
<i>Umbalakada</i> (maldivian fish)	80.00
Other	20.00
Total	457.00

Income and profits: The wades made are sold at Rs.2.00 each, giving him a gross income of Rs.1000/- if he sells 500 wades a day. The operation records a net profit of Rs.500/-.

Clients: Rajan's clients are primarily the employees of the government and private sector agencies located in the vicinity where he operates. According to him, one such agency buys 50 wades from him everyday. In addition, the general public passing by too are his clients.

Aspirations: Rajan claims that he is unable to put by anything for future needs or investments since the biggest portion of his returns is spent on his four children and the aged parents. Their house rent and the electricity bill per month amounts to Rs.800/- and Rs.150 respectively. Nonetheless Rajan and his wife are contended that they are better off now and want to continue the business with further improvements such as a permanent place to pursue their operations, a shelter for their centre of operation and a sort of formal recognition about the quality of their products.

No
02

Ranjith

The Lunch Packet Vendor

Family background:

46 year old Ranjith, married with three children is a street food vendor selling lunch packets in the Colombo Fort. His spouse is Shanthi, the daughter of a labourer hand. Ranjith married Shanthi in 1976 when he himself was working as a harbour worker. Ranjith had studied upto grade 5 while his wife had education upto GCE (OL). Ranjith who left his parents at the age of 12 now lives with Shanthi in a suburb of Colombo together with their three daughters. Their present house is built on a piece of land purchased by Shanthi in 1986 from the savings she generated while working in the Middle East.

Employment history:

Since Ranjith left home at the age of 12 he had been trying hard to find a living for himself.

Ranjith's track record reveals a variety of jobs he has done both for short spells and long spells ranging from 08 months to 04 years with monthly remunerations varying from Rs.35/- to Rs.450/-. From 1982 – 1986 he pursued his own livelihood of buying and selling lunch packets and since 1987 he has started his own business of preparing and selling lunch packets.

The Enterprise

Initial capital: Ranjith had started his lunch packet business with a loan of Rs.5,000/- taken on interest from a moneylender. The money was used to purchase the necessary apparatus for the business. He did not have his own savings to invest in the business, as the family had to use all their savings for the construction of the house at that time.

Operation: The preparation of lunch packets begins around 5.00 in the morning and continues till about 11.00 a.m. The work is shared by Ranjith, his wife Shanthi and the three daughters; women shouldering the responsibility of cooking while Ranjith does the packeting. The lunch packets are transported to Colombo by Ranjith on his motorcycle. Except on Saturdays and Sundays he sells his lunch packets on other days from 11.45 a.m. to 2.30 p.m.

Ranjith sells about 150 lunch packets a day. His products have a variety; fried rice, yellow rice, white rice, buriyani etc. 25 packets containing *kekulu* rice are sold for clients who have a special preference for this rice variety. Further, Ranjith provides his clients a range of options in respect of curries and the lunch packets are made available with chicken, fish, eggs, beef or dried fish.

Once or twice a week about 10 packets remain unsold. On such occasions, the leftover packets are sold to the vendors at the market at a reduced price of Rs.15/- a packet or are given free to the beggars. The normal price of a packet of rice is Rs.30/- whichever the variety is. The comparative price at restaurants is the key criteria Ranjith depends on in pricing his lunch packets. Ranjith tags his price Rs.5/- lower than the price at restaurants. He sticks to this pricing system in order to attract the clients. He is able to sell at that price because of two reasons. Firstly, his family collects firewood for cooking from their neighbourhood obviating that costs. Secondly, he buys relatively low quality leftover vegetables at the Manning market in the evenings at a lower price. However, Ranjith claims that the vegetables are not spoilt completely and are in a good condition for consumption.

Operational costs: The cost incurred by Ranjith per day for preparing 150 lunch packets is given below:

Cost item	Amount (Rs.)
12 kg of <i>samba</i> rice	350.00
2 kg of <i>kekulu</i> rice	55.00
Vegetables	400.00
Green leaves	75.00
Potato	200.00

Dhal	200.00
2 ½ kg of chicken	340.00
1 ½ kg of beef	170.00
2 kg of fish	450.00
500 grams of dried-fish	85.00
20 eggs	80.00
5 coconuts	25.00
Coconut oil	120.00
Spices	180.00
2 bottles of kerosene oil	35.00
750 grams of <i>papadam</i>	75.00
Frying chillies	60.00
Total	2,900

Ranjith's actual cost may go upto Rs.3,000/- with another Rs.100/- added to cover his transport costs and the cost of oil papers and wrapping papers.

Income and profits: If all the 150 lunch packets are sold at the rate of Rs.30/- per packet, his gross income for a day will be Rs.4,500/- registering a daily net profit of about Rs.1,500/-. In addition to the monetary income, the leftover food satisfies the family food needs for at least two meals.

Clients: Ranjith's clients are primarily the employees of banks and other offices located around the place he operates and the pavement hawkers. Of his clients, about 75 are regular clients.

Aspirations: Ranjith's aspiration is to provide a quality food parcel for his client's satisfaction. He believes that a quality food packet will help to retain his clients. However, he is unable to expand his business further primarily because of five other competitors operating in the surrounding areas. If he wants to expand the business, he will either have to further reduce the price of a lunch packet (because of the competitors) or else find a second selling point both of which appear to be impossible at present for Ranjith.

No
03**Raja****The Pineapple/Mango Vendor****Family background**

Raja, the pineapple and mango vendor of an unknown parenthood is 40 years old and unmarried. He says that he was brought up by two outsiders. Raja has studied upto grade I in school. Thereafter, he is said to have been handed over to various homes in Colombo to work as a domestic aide and the money was obtained by the two persons who brought him up. He has no fixed abode and sleeps under the staircase of a building located close to the place where he sells his pineapples and mangos. He has lived in this way for the last 7 years and is reluctant to go to his friends' homes as it can result in additional expenditure. However, he spends a substantial portion of his day's earnings on smoking. It was observed that Raja is not very keen to maintain cleanliness. His personal appearance (clothes that he wears) as well as the immediate environment of his business operations looked unclean and non-attractive to the customers. He is a heavy smoker and spends about Rs.100/- daily on smoking.

Employment history

Raja had been employed in various capacities since his childhood and in many instances he was either not paid or his remuneration was obtained by the persons who adopted Raja. In such places, he was given only food, clothing and a place to sleep.

Commencing from the age of 11 he has served in menial positions, mostly for daily meals, for periods ranging from 2 to 3 years.

The enterprise

Raja took to selling pineapple and mangoes in 1976, at the age of 27.

Initial capital: Raja's initial investment in the enterprise was less than Rs.100/- for buying an aluminium vessel, a knife and a bottle of salt to spray over pineapples and mangoes. At the time he started his business, he was able to buy a pineapple at the price of Rs.2/- to 5/- and a mango for 50 to 75 cents a fruit. He ran his business both in the fruit season and the off-season. Raja was able to sell a piece of pineapple for Rs.1/- and a mango for 50 cents. Initially, he

operated as a mobile vendor around the Colombo Fort carrying the basin of fruits on his head. Subsequently, he found a small cart to carry his products around the city.

Operation: Raja is no longer a mobile vendor. In 1989 he had put up, close to the central bus terminal a small hut on a piece of land, belonging to the Municipality. Raja starts his business operations in the morning and continues till evening. He buys his pineapples and mangos at the Manning market in the mornings and sometimes goes for a second round of purchasing in the afternoon if he could sell his first lot of fruits early. However, Raja's earnings are relatively low during weekends and rainy days. On such days, he reduces the quantity of fruits he buys. On festive occasions, he visits such places to earn an additional income.

Operational costs: The pineapples, Raja buys daily costs him around Rs.200/- while the value of mangos is around Rs.100/-. The price of a pineapple he buys ranges between Rs.10/- to 15/- and mangos at Rs.2/- per fruit. The salt and chilly powder would cost him another Rs.20/-. This means that his daily cost is around Rs.320/-.

Income and profits: The daily profit Raja generates from his business is around Rs.300/-. The price of 1/4th of a pineapple is Rs.10/- whereas 1/8th of a pineapple is priced at Rs.5/-. A mango is sold at a profit of Rs.3/-. However, his profits tend to decrease when pineapple prices increase as he cannot increase the price of pineapple pieces to commensurate with such price hikes.

Clients: Raja's clients are mostly the commuters who turn up at the bus terminal. He does not have a regular group of clients. He tries his best to sell quality fruits to his clients. However, to ensure his profit he has to buy sub-quality fruits at the market, which are relatively cheaper especially when their prices go up, elsewhere.

Aspirations: Raja does not face much competition from fellow vendors as not many pineapple/mango vendors operate in his area of operation. However, he is frequently threatened by various gangs to get him out of his business premises. Raja is determined not to give in to such threats. He feels that if he could get a glass container to place his fruits he would be able to improve the quality and the hygienic conditions of the fruits he sells to his clients.



Velu **The Gram Vendor**

Family Background

Velu, the 38 year old gram vendor is married to Chandra who is 28 years of age. Their 4-year-old son is attending a Montessori school. Velu has studied upto grade 5 and his wife upto the 10th standard. Both of them were originally from the estates in Nuwara Eliya. The family live in a rented out apartment in a Colombo slum, for a monthly rental of Rs.250/-. A sum of Rs.150/- is charged for the use of electricity.

Employment history

At the time Velu got married, he had been working as a coolie loading and unloading goods in Colombo for about 5 years. He was earning Rs.400-500 a day, which was almost spent in entirety on sumptuous food, which his arduous manual labour demands. He was rather extravagant in the company with his friends. Velu's wife, Chandra had quitted her job in a garment factory three months after their marriage.

The Enterprise

Initial capital: Velu's business is selling boiled-gram for breakfast to the vendors operating at the Manning market in Colombo. He started this activity in 1995. The initial support came from one of his friends who gave them 5 kilograms of grams to start the business at a time when both Velu and Chandra were sick and found it difficult to make both ends meet. They boiled 3 kilograms of it and sold them in bags containing 250 grams each in Pettah. The net profit they received was around Rs.90/-. Inspired by this Velu and Chandra were determined to continue the gram-selling business. The initial capital invested was around Rs.2, 250/- for the vessel used for boiling gram and the kerosene cooker.

Operation: Velu sells 6 kilograms of boiled gram daily to the vendors at the Manning market. He buys a stock of 25 kilograms of the best-imported raw gram at a time, which according to Velu, is the best, imported from Australia. Velu has a push-bicycle, he had bought for Rs.3, 500/- and uses it to carry his boiled gram to the market as well as to transport the raw stocks of gram and other necessities that he buys from the market. According to Velu, money for the push-bicycle was found through a *cheettu*; Earlier Velu had to hire a three-wheeler taxi for the transportation of h

is raw material at a cost of Rs.75/- and depended on the public transport to carry his boiled gram to the market in the mornings.

Besides boiled gram he also sells boiled green gram to his customers every other day. He does not do it on a daily basis because the profit margin is relatively small. For example, the boiled green gram for breakfast has to be wrapped up in individual portions in cellophane sheets and paper and a *sambal* of onions and *maldive fish* has also to be added. Selling boiled gram, which requires only scraped coconut and fried chilies to mix with does not entail such additional costs. A packet containing 450 grams of boiled green gram is sold at Rs.20/- with a profit margin of Rs.7/- per packet. At times the price of raw gram rises, Velu increases the quantity of boiled green gram that he sells and reduces the gram.

Chandra and Velu do the preparation of gram jointly. The boiled gram is put into small cellophane bags and each containing 250 grams is sold for Rs.10/-. Fuel wood is used for boiling gram. They use the kerosene oil cooker for frying chilies to mix with boiled gram. Velu starts his business around 6.30 a.m. He uses a plastic bucket to store his gram bags and take them round for selling. Around 8.30 a.m., he finishes his business operations and after having his breakfast at the market itself, starts going round to his clients to collect the money for the gram they bought. Almost 50% of his regular customers do not have cash in their hand in the mornings to pay for the gram, as their own business operations have not yet started. Therefore, gram packets have to be given on credit and Velu has to spend another 2-3 hours at the market collecting money from his customers even though he finishes his sales by 8.30 a.m. Velu operates his business everyday and keeps off only on exceptional circumstances.

Operational costs: The operational cost of the gram business for a day is calculated as follows;

Cost item	Amount (Rs.)
6 kg of gram	435.00
Fuel wood	30.00
1 Coconut	12.00
150 grams of chilies	15.00
¼ bottle of coconut oil	12.00
100 cellophane bags	10.00
¼ bottle of kerosene oil	03.25
Total	517.25

The above cost estimate however, does not include the labour input of Velu and his wife and the occasional remuneration made by them in cash and kind to a person who helps them when they are in need.

Income and profits: Velu is able to make 80 bags of boiled gram containing 250 grams in each, which are all sold out. At the rate of Rs.10/- per bag, his total income amounts to about Rs.800/-, registering a net profit of around Rs.300/- per day. In addition to this, Velu also makes a profit from his green gram business every other day.

Velu's earnings are supplemented with a small income generated by his wife through making paper bags to a company. The company provides the raw material and she is paid Rs.50/- for every 1000 bags that she makes. Chandra is able to make 500 bags per day while helping the gram business and looking after the child and cooking.

Clients: As mentioned earlier, the regular clients of Velu are about 50 vendors at the Manning market. The rest are the lorry drivers who transport goods to the market and others who come to the market for their purchases. According to Velu, his regular customers are rich and can afford to have a good breakfast elsewhere. Despite they patronise him because they want to help poor people like Velu. Velu and Chandra are both excessively cautious to maintain the quality of the gram they sell even at times of raw gram price hikes. They also try hard to prepare the gram under hygienic conditions to avoid any spoilage. The price of boiled gram bags is determined by Velu taking into account the cost of his raw material as well as the comparative selling prices of two other gram sellers operating in the same location. However, Velu says that he does not face competition from them because one is quite irregular in his business while the gram sold by the second vendor is perceived by the customers as unclean.

Aspirations: Velu and his wife have several aspirations. One is to operate a gram cart in the evenings with the help of two other hired persons. The second is to move into a spacious and better house where they can carry out their business operations without any hindrance. At present, the hearth for boiling gram is located outside the house and on rainy days they find it difficult to use it. If Velu can afford to move into a better house he can also provide accommodation to the assistants that he thinks of employing for selling gram in the evenings. Thirdly, his aspiration is to replace the firewood hearth with a gas cooker for preparing gram so that the cost of fuel wood could be reduced. His first priority is to move away from the present shanty into a reasonably good house. However, he needs Rs.30, 000-50,000 to rent out such a house. Both Velu and Chandra are committed to the business and do not want to give it up at any cost. They look forward to improving their business further.

No
05**Gamini****The Kolakenda (Herbal Porridge) Vendor****Family background**

Gamini, the *kolakenda* vendor living about 30 km away from Colombo is 39 years old and married to Punya who is of the same age. Gamini has studied upto the eighth standard and Punya upto the sixth standard. Punya had been previously employed as a village animator by an international NGO. Punya's sister arranged the marriage between Punya and Gamini. Their 5 year old only offspring is presently sent to a pre-school in the village. The family lives in a house rented in for Rs.450/- a month. Recently, they have made arrangements with an agency dealing with real estates, for the purchase of a 12 perch block of land close to their present place at a cost of Rs.120, 000/-. An advanced payment of Rs.20,000/- has already been made out of the savings of Punya and they are seeking the assistance of the State Mortgage Bank to obtain a loan repayable in 15 years to settle the balance payment. However, as neither Gamini nor Punya is employed in the formal sector on a fixed monthly salary, they are unable to gain access to loan facilities of the bank. Therefore, they want Punya's brother who is an employee in a garment factory to apply for the loan in his name.

Employment history

Gamini started his career as an aide in a State Corporation in Colombo and after a few years, resigned from that position, as he claims, to obtain his Provident Fund money to be given as part of the dowry for one of his sisters. After leaving the job, Gamini had been living in Colombo when he got the marriage proposal. After the marriage, Gamini became a mobile fish and vegetable vendor on his push-cycle. He did not succeed in the business, because of his inability to face the competition from fellow fish vendors. He also had problems in recovering the money from his customers who bought fish and vegetables on loan from him. Therefore, he abandoned the business and later joined a garment factory where he worked for 6-7 months and left the job, as his employers were too strict on him.

The enterprise:

Initial capital: After leaving the job, the family started experiencing financial difficulties and Punya's sister gave Rs.300/- to Gamini to find some work. With Rs.300/- in his hand, Gamini got the idea of

making *kolakenda* to be sold at the Manning market in Colombo. Gamini had a little previous knowledge and experience on the business as he was helping one of his brothers-in-law who was in this business at the Manning market a few years back.

Gamini bought 25 empty jam bottles (to use as containers for *kolakenda*) and other requirements to the value of Rs.250/-. The mortar to pound the leaves was borrowed from Punya's sister. The herbal leaves were obtained from the nearby forest. On the first day, 10 bottles of *kolakenda* were taken to the Manning market in Colombo. The *kolakenda* was prepared by Punya who had a previous training in this process by participating in a programme conducted by an NGO to educate the villagers on the preparation of nutritious food. The acquaintance and contacts that Gamini had at the Manning market during the time he worked as a helping hand to his brother-in-law helped him to get access to the market for selling his first lot of *kolakenda* bottles.

The initial investment for the basic equipment used for the venture was approximately Rs.1800/-. The costs involved were Rs.850/- for the mortar (*vangediya*), Rs.150/- for the pestle (*molgaha*), Rs.450/- for the large container, Rs.250/- for the small container and Rs.40/- for the strainer (*peneraya*) and Rs.100/- for 25 empty jam bottles. The mortar (*vangediya*) and the pestle (*molgaha*) were initially borrowed from Punya's sister. However, they were returned to her within one month, as Punya was able to purchase her own mortar and the pestle from money she invested in a *cheettu*. Punya is proud of this achievement within one month of their starting the business. The strainers (*penerayas*) used for filtering *kenda* and the jam bottles are however not durable and they have to be replaced, quite often.

Operation: Gamini carries 25 bottles of *kolakenda*, prepared with a variety of herbal leaves six days a week to the Manning market. The herbal leaves used are *valpenela*, *iramusu*, *gotukola*, *hathavariya*, *mugunuvenna*, *kohila*, *thalum batukola*, *passion fruit leaves* etc. Sometimes the product is a mixture of a variety of leaves. The preparation of *kenda* is done jointly by Gamini and Punya. Punya collects herbal leaves from the forest (occasionally) cleans and washes the leaves and bottles (sometimes Gamini helps her). Gamini attends to grinding the leaves. According to Gamini, only Punya knows the standard preparation and quality maintenance. Therefore, he is entirely dependent on Punya for the quality of the product. Gamini believes that his products are of very high quality and hence the preference of his customers. The *kenda* does not get stale even if it is kept till noon. The jam bottles containing *kenda* is packed into a cardboard box and carried to the Manning market by Gamini. At the market place, they are transferred to a plastic basket and carried round for sale.

Gamini has to be at the market place by about 6.30 – 7.00 a.m. The *kenda* has to be sold to his respective buyers at breakfast or before that. Any delays on Gamini's part would result in a financial loss. Consequently Gamini and his wife Punya start the process of preparing *kenda*, around 11.00-12.00 in the night. By 4.00 a.m., Gamini has to take his *kenda* on his push-cycle to the nearest bus stand covering a distance of about 3 km to take the 4.30 bus to his second destination. From there he goes by bus to Colombo Fort to reach the Manning market, where he finishes his selling by about 7.30 a.m. After his breakfast he goes round to collect his dues from his customers. According to Gamini, this recovering process is the most arduous task. At the time he sells *kenda* to his customers, a majority of them have not started their business transactions and therefore they do not have cash in hand to pay for the *kenda*. Therefore, Gamini has to wait patiently for the commencement of his customers' business activities to get his money. This is a rather cumbersome activity taking 3-4 hours of Gamini's time and even necessitating a couple of visits to a single customer at times. Despite all his trouble, he gets a part of his dues on the following day or the day after. There is always a cash deficit in his returns. Gamini claims that added to the bargain there were instances of threats or rebukes when he pressed them for his money. However, Gamini has no other option but to act with patience and tolerance for if he does not provide *kenda* on credit, he himself loses his clientele. The cost that Gamini has to bear in order to keep his clients in tact is the time involved in recovering the money.

The time that Gamini and his wife spend in a day for the different activities connected with *kenda* business is as follows:

Activity	Estimated time
Collection of herbal leaves (either purchase from the boutique or extract from the nearby forest)	2-3 hrs
Cleaning and washing the leaves	2 – 2½ hrs
Washing and cleaning empty bottles	1 hr
Preparation and packaging of <i>kenda</i>	4 hrs
Selling <i>kenda</i> and recovering money	5 – 5 ½ hrs
Travelling	4 hrs
Total no: of hours spent	Approximately 19 ½ hrs¹¹

The number of actual person hours could be even more as some of the activities such as collecting herbal leaves from the forest, cleaning and washing leaves and bottles and the preparation of *kenda* are undertaken by Gamini and Punya jointly.

Operational costs: The raw material necessary for their venture such as green leaf varieties and fuel wood are collected by Punya as much as possible from the surrounding areas to keep their operational costs low. However, all the requirements are not found in this way and for the balance they depend on the open market. When so purchased, their operational costs increase. The green leaves when bought from the market cost them around Rs.50/- per day and for fuel wood another Rs.15/-. The average daily operational costs for *kolakenda* (excluding green leaves and fuel wood) are as follows;

Cost item	Amount (Rs)
3 Coconuts	24.00
750 grams of rice	15.00
100 grams of garlic	10.00
Jaggery	35.00
Transport	25.00
Total	109.00

Income and profits: As mentioned earlier, Gamini sells 25 bottles of his product at Rs.10/- each generating a daily income of Rs.250/- a day. However, as explained above, Gamini is unable to recover the total amount on a daily basis. According to him his daily net income ranges between Rs.100/- to Rs.150/- a day.

Clients: Gamini's regular customers are primarily about 25-35 vegetable *mudalais* and labourers (*natamis*) at the Manning market. According to Gamini, his customers go for *kenda*, mainly because of its nutritional value. Gamini's estimation is that he can sell around 50 bottles of *kenda* daily to such *mudalais*. He says that his customers are aware that Gamini comes from a rural area and that he uses fresh herbal leaves found in the village to prepare *kenda*. Secondly, Gamini is the only *kolakenda* seller operating at the Manning market. The third reason is that he and his wife are both quality conscious of their product. Gamini recalled that once his proposal to use plastic bags to contain *kenda* instead of jam bottles for convenience of transport was not acceptable to Punya as she thought the contents would get stale easily. According to Punya, she does not have a sealer to close the mouth of the plastic bag and she uses the flame of a candle for this purpose. This practice, she feels can affect the quality of *kenda* and there is a possibility of it getting stale. She is also conscious of the additional cost that they will have to incur if disposable plastic bags are used daily replacing the jam bottles, which can be used over a long period of time. There is a good and stable demand for his products. However, at present, Gamini is constrained to expand the business because of transport difficulties he experiences daily, with

reluctance on the part of the public transport service crews to carry such loads.

Aspirations: The highest priority of Gamini and Punya today is to move into a house of their own so that they can save on the house rent. Punya also aspires to have power supply to their intended new house so that she could use an electric grinder for crushing the green leaves. A grinder will help her to reduce both the time involved in the preparation of *kolakenda* and the wastage. In their present strained circumstances it will take a couple of years for them to achieve their goals. Another aspiration of Gamini and Punya is to acquire a motor bicycle that will help in increasing the number of *kolakenda* bottles Gamini can carry to the market. It will further enable them to generate an additional income by buying vegetables etc. from the Manning market and selling them in the village on his way back home.

No

06

Nimal

The Sandwich Vendor

Family Background

Nimal, the sandwich vendor operating at the Colombo Manning market is 35 years old and is married to 30 year old Renuka. They have been married for 4 years and without any children. Parental consent from both parties had not been forthcoming for their marriage. Nimal is educated upto GCE (Advanced Level) and Renuka upto GCE (OL). Nimal has also followed a course in building construction at a technical college. At present, they live in a house belonging to a friend of Renuka's family who is working abroad. Nimal and Renuka look after this large spacious house located in a suburb of Colombo and pay only the electricity and water bills.

Employment history

Nimal started his career as a technician in a Government Department around 1987 working in the Eastern Province of the country. Around 1990, he resigned from the post as it was difficult to work in the Eastern Province and started working in a garment factory in the same capacity. There he met Renuka who had been a supervisor in the factory. After nearly four years Nimal left the factory and went into the business of buying coconut and banana from Matale and selling them at the Colombo markets. However, the stiff competition in the trade left him out.

The enterprise

Initial Capital: Nimal started the present enterprise of selling sandwiches at the Manning market soon after he abandoned his business in 1998. Renuka too resigned from her job due to the long distance involved in travelling to the workplace and the night shifts she had to put in. She too supported her husband's enterprise.

Selling sandwiches was not their maiden enterprise. Firstly they sold *mun-guli*, a sweet-meat prepared with green gram, sugar and jaggery and cutlets, which were supplied to a restaurant in the Colombo Fort, identified for them by one of his friends. In addition to this enterprise, Nimal sold his food to the individual customers as well. Having realised the need of his clientele for a heavy breakfast, Nimal and Renuka decided to introduce sandwiches instead. The venture capital for the sandwich enterprise was from the savings of his earlier enterprise.

Operation: The food preparation is entirely in the hands of Renuka while Nimal helps her in the preparatory work. The sandwiches they sell daily are made out of 30-35 loaves of bread. Each loaf is cut into 4 pieces and curries prepared of different varieties as dhal, onions, sprats etc. are sandwiched in between. Nimal's sandwiches are supplied with at least 3-4 types of curries in order to meet the different consumer preferences, - more with hot stuff and a few with butter and sugar. The sandwiches are wrapped up inside cellophane bags and taken to the market in cardboard boxes. These sandwich pieces are further covered with a piece of paper before they are handed over to the customer.

The preparation of sandwiches starts around 4.00 a.m. The raw materials for preparing curries are kept ready by Renuka in the previous evening. The curry stuffs are not purchased in bulk but on a daily basis for fear of price fluctuations, because a drop in price in bulk purchases would entail a loss. Nimal buys the bread from the bakery around 4.30 a.m. and there are instances where the bakery does not bake bread and then Nimal has to bear the loss of the prepared curry stuff. Nimal carries the sandwich boxes by bus to the market place, which according to him is a difficult task particularly on rainy days and when buses are crowded. Nimal reaches the Manning market around 7.30 a.m., completes the sales around 9.30 a.m. and thereafter hangs around until 3.00 p.m. to recover the money from his clients.

Operational costs: As mentioned earlier, Nimal's sandwiches consist of different varieties, applied with different curries as well as butter and sugar, to allow the customers to have a choice. The sandwiches are applied with at least three different types of curries. Because of these variations, it is difficult to estimate the

actual daily cost of Nimal's business. The number of sandwich pieces he sells in a day is around 120-150 with a fewer on Sundays and Poya holidays. The average daily cost of preparing sandwiches is calculated as follows;

Cost item	Amount (Rs)
30 loaves of bread <i>(special type of bread bought at Rs.9.75 per loaf)</i>	292.50
6 kg of onions	300.00
Curry powder/chilies etc.	50.00
Gas	20.00
Margarine	43.00
Cellophane bags	16.00
News paper for wrapping	8.00
Total	729.50

It is difficult to calculate the actual daily cost of Nimal's enterprise as the types and quantities of curries prepared are changed daily. However, the calculation shown above is made on the assumption that the bulk of the sandwiches are applied with onion curry only and the balance with butter and sugar.

Income and profits: As pointed out earlier, the income and profits generated from Nimal's enterprise hinge on the availability of bread, the holidays, the number of sandwich pieces that he supplies and the price of raw material, which fluctuates quite frequently. Despite these price fluctuations, Nimal and his wife try their best to provide a quality meal to their clients. A sandwich packet is priced at Rs.10/-, which has remained the same since the commencement of his business two years ago. On an average Nimal sells around 120 pieces per day, giving him an average daily income of approximately Rs.1200/-. According to Nimal, his profit from the enterprise is in the range of Rs.350/-Rs.400/- per day. Nimal goes to the market for about 25 days a month. One of the difficulties Nimal experiences is the recovery of his dues on the same day.

As such, always a deficit of Rs.200/- to Rs.300/- remains unrecovered. This has adverse implications on his enterprise. Sometimes the clients who buy on credit delay the payment for a number of days. Nimal is hard pressed for cash to purchase the ingredients.

Clients: Nimal has a regular group of customers who are mainly the traders operating sales outlets at the Manning market. They have trust in Nimal as a reliable vendor providing them with hygienic and clean food, a trust Nimal endeavours to maintain.

Aspirations: Nimal and Renuka are interested in further developing their enterprise. Nimal feels that he can scale up his sandwich sales by about another 15 loaves, as there is a demand for sandwiches at the market. However, the constraint is the difficulty of transporting them in the bus without getting them uncrushed. To obviate this difficulty Nimal is of the view that he must have his own vehicle. Renuka too agrees with Nimal. The long-term aspiration of Nimal is to run a restaurant of his own. Meanwhile, Renuka is skilled in sewing and cookery and if a vehicle is available they will be able to diversify their enterprise adding garments and other foods too and can offer a mobile service. They further feel that they will be able to travel to rural areas during weekends and buy rice, vegetables, fruit etc. at relatively low prices and sell them in Colombo at a profit. However, Nimal and Renuka do not have enough financial resources to invest in a vehicle and expect to obtain a loan from a bank for this purpose. But they have come up with the problem of getting a guarantor acceptable to the bank. They look forward to an outside organization, which could help them with a suitable guarantee to the bank.

No David 07 The Tea Vendor

Family background:

David, the tea vendor operating at the Manning market in Colombo is 65 years old. He is a father of five of whom only one is employed. Rest of the family members are dependent on David. David and his family live in a village about 30 km from Colombo and he travels daily to Colombo to sell tea at the Manning market. David, born into a family of five siblings was educated upto grade 6.

Employment history:

The parents of David brought him to Colombo when he was 13 years old and handed over to a *mudalali* named John who had been a tea vendor in Colombo. John *mudalali* had employed a number of persons to operate as mobile tea vendors selling tea in Colombo for which he supplied the equipment and the raw material. David was first placed as a trainee under the supervision of an experienced vendor and thereafter he was allowed to operate independently. Selling tea started around 6.00 a.m. and continued till evening. David was paid Rs.7.50/- a month. David was provided accommodation in a boarding place arranged by John *mudalali* for his employees. David did not stay long.

Leaving John *mudalali*, David joined a vegetable vendor at the Manning market for a short-while and thereafter worked in a restaurant at Ja-ela making tea. As the remuneration from all these places was not sufficient for his living, he returned to his village and started cultivating highland crops. This too was short-lived. He then decided to start his own tea business at the Manning market.

The enterprise

Initial capital: At the time David started his tea business nearly 35 years ago, the initial capital he invested in purchasing the necessary equipment such as a kettle, a bucket and 10 drinking glasses was around Rs.7/-.

Operation: David leaves his home around 5.00 a.m. and reaches Colombo around 6.00 a.m. by bus. He starts his business of selling tea around 6.30 a.m. He has a fixed space at the market to boil water and make tea. He leaves his equipment in a room at the market over night. David sells two kettles of plain tea a day – one around 6.30 a.m. and the second kettle around 10.30 a.m. The number of cups of tea he sells is around 100-120. David operates his business daily except on Poya holidays and when he falls sick.

Operational costs: The raw material such as tea dust, sugar, ginger etc. required for the day is bought on the previous day and stored where he keeps his equipment. Water and firewood (discarded packing material) are found by David within the market premises without any cost. The daily cost for the raw material he buys is as follows;

Cost item	Amount (Rs)
1 $\frac{3}{4}$ kg sugar	52.50
75 grams of tea dust	19.50
Ginger	20.00
Total	92.00

Income and profits: David sells a half a glass of plain tea at Rs.3/- while a full glass of tea for Rs.3.50/-. The average daily income earned by David is around Rs.350/- and his profit is in the range of Rs.200/- to Rs.250/- per day. However, he is unable to recover the full amount of his sales on the same day and about 20% of his dues are collected only on the following day.

Clients: The clients of David are primarily the vendors operating at the Manning market and their helpers, the lorry drivers and

businessmen who come to the market to buy vegetables etc. David is conscious of the cleanliness of the tea that he provides to the clients and he ensures that his equipment is cleaned well. As a practice, he applies lime when washing glasses every morning.

Aspirations: He lives in a half-completed house. Though David does not aspire to further improve his business, he is determined to continue the business as long as he can make it. His present wish is to complete his house in the near future.

No
08

Perumal

The Breakfast and Tea Vendor

Family background:

Perumal and his family have been living in a Colombo slum since 1987, the environment of which is obviously quite uncondusive, particularly for a food business. Perumal is 48 years of age while his wife Letchchami is 39 years. Perumal has gone upto grade 7 and his wife upto grade 4. They have been married for 17 years and have four children. The eldest daughter is working in a garment factory while the second daughter is studying for GCE (OL). The former earns Rs.2300/- a month of which Rs.1000/- is given to the mother to cover part of the household expenditure. Their two sons are studying in grades 7 and 4.

Employment history:

Since the time Perumal gave up his schooling he has been working in different capacities in different places, as a helper, tea maker, tea vendor and fruit seller for short spells ranging from 1-2 years receiving remunerations not quite sufficient to keep the pot boiling.

The enterprise:

Perumal started his tea business by selling plain tea at the Manning market at 50 cents a cup. As there were several plain tea vendors at the market at that time, Perumal changed his business from plain tea to milk tea. However, at present he sells both milk tea as well as plain tea – milk tea in the mornings and plain tea in the afternoons. In addition to providing tea, he also now supplies breakfast to his clients.

Initial capital: Perumal's brother-in-law, himself a tea vendor at the Manning market provided the initial support to start his

business. The old kerosene cooker, the kettle and the tray formerly used by the brother-in law were lent to Perumal when he started his business. Perumal had to buy a few cups and glasses, which cost him around Rs.150/-. He had obtained a loan of Rs.500/- from a friend to buy the necessities. He buys about 10 glasses every year and replaces the kerosene cooker almost every 2 years.

Operation: As mentioned earlier, Perumal supplies milk tea in the mornings and plain tea in the afternoons. He starts his business around 6.30 a.m. and continues till late afternoon. The breakfast he provides to the clients consists of string-hoppers, hoppers, rotti and wade. This stuff he buys from a wholesale outlet located in the Pettah. The *sambal* and the curry that he provides to the clients along with the breakfast are however prepared by his wife at home. She starts cooking around 4.00 a.m. He carries them to the market on his push-cycle. The breakfast is first served to his clients while water is being boiled for tea. Payments are collected only after the clients have finished their breakfast.

Operational costs: The cost of raw material used for preparing tea is as follows;

Cost item	Amount (Rs)
4 kg of sugar	120.00
300 grams of tea dust	65.00
1 packet of Anchor milk	97.00
50 grams of ginger	10.00
1 bottle of kerosene oil	15.00
Total	307.00

The cost for providing breakfast is tabulated below;

Cost item	Amount (Rs.)
100 string hoppers @ 40 cents each	40.00
30 hoppers @ Rs.2/- each	60.00
50 rotties @ Rs.3/- each	150.00
40 wade @ Rs.2.50 each	100.00
Curry (gravy)	24.00
Sambal	12.00
Total	386.00

The total expenditure incurred by Perumal to provide breakfast and tea to his clients is approximately Rs. 693.00.

Income and profits: According to Perumal, he is able to sell around 100 glasses of milk tea and another 100 glasses of plain tea daily at Rs.6/- and Rs.3/- respectively. Thus Perumal is able to generate a total income of Rs.900/- per day if he sold 200 glasses of both milk and plain tea. The net profit from tea will be around Rs.600/- per day.

The income he receives from breakfast is as follows;

Breakfast incomes	Amount (Rs.)
String hoppers	100.00
Hoppers	75.00
Rotties	200.00
Wade	140.00
Total	515.00

The net income that Perumal could generate from supplying breakfast to his clients is around Rs.130/- per day. This means that his total net profit per day is around Rs.750/-.

Perumal too faces the problem of recovering his dues to him on the same day. About 20% of his dues are recovered on the following day. Except for Poya holidays and other special days, Perumal operates his business almost daily. The income on Wednesdays and Fridays is relatively low as business transactions at the Manning market are generally lower on such days.

Clients: Perumal's clients are not restricted to those operating at the Manning market alone. Apart from the vendors, helpers, drivers etc. who come to the market daily, there are also taxi drivers and office staff who come to Perumal to buy their breakfast and tea. The price of food sold by him is in par with the prevailing prices at the restaurants. When food prices tend to rise, Perumal does not individually impose price hikes of his food stuff. He waits for about 1-2 months and gradually increases the prices.

Aspirations: On days Perumal's sales drop he is deprived of a reasonable income and he buys vegetables and coconuts from the Manning market for sale in his neighbourhood and makes a substantial profit. Perumal is keen to develop this business of buying and selling vegetables and fruits. However, he feels that he should have a motor-bicycle of his own to carry out the business profitably.



Anthony and Hemalatha

Beverages Vendors

Family background:

This business is a joint venture of Anthony and Hemalatha. Their sales outlet is a wooden hut on an encroached property located within the Pettah bus terminal premises. Anthony, a Tamil by birth is 48 years old. Long time ago, his family had migrated to Colombo and found work as coolies. Anthony had to give up his education after grade 7 to work as a domestic aide.

Hemalatha, a Sinhalese, is 49 years old. Her father died in her childhood. Later, Hemalatha was handed over as a domestic aide to a family in Colombo. At this place 19 year old Hemalatha was raped by her employer and in a fit of revenge she murdered her employer and was imprisoned for nearly 20 years from 1967 to 1987. Though Anthony and Hemalatha are not married legally, they live together.

Employment history:

Hemalatha was a domestic aide until she was imprisoned. However, Anthony has a history of working in a number of places in different capacities as a domestic aide, helper to a mason, labourer and running a gram cart.

The enterprise

Anthony and Hemalatha sell *Saruwath* and fruit juices. The fruit juices consist of those made out of passion fruit, wood apple, avocado etc. depending on the fruits available at the market. The enterprise was started by Hemalatha in 1981 and Anthony joined her after about 5 years.

Initial capital: The initial venture capital was about Rs.1750/-, which was spent on a small cart, a bucket, 10 glass bottles, a basin and 10 drinking glasses. The money was found from the savings Hemalatha could generate by producing and selling eakle brooms during her imprisonment of 20 years. A police officer known to Hemalatha had also supported her to start the enterprise. While in prison, Hemalatha had also received training in *saruwath*-making.

Operation: Anthony and Hemalatha had been operating their business on a hand cart until 1995 when they were able to find a

fixed place for their business and to put up a shelter. A local politician had helped them to set up the hut and Anthony and Hemalatha had to spend about Rs.5000/- for the construction of this hut. The business operations are generally from 8.00 a.m. to 5.00 p.m. Anthony buys fruits required for juices from the Manning market in the mornings. Their sales outlet is kept clean and tidy and consists of a few chairs and tools for the clients to sit apart from the equipment used for preparing juices.

Operational costs: The daily cost for the *saruwath* is estimated as Rs.190/-. They also spend another Rs.75/- for preparing passion fruit juice and another Rs.100/- to prepare either wood apple or avocado juice. The ingredients for these juices consist of sugar, fruits, colouring, flavours, water (Rs.30/- per day), ice etc, which incur a total cost of around Rs.365/- a day.

Income and profits:

Cold drink type	Quantities sold	Income received (Rs)
Saruwath @ Rs.5/- per glass	100	500.00
Passion fruit juice @ Rs.10/- per glass	15	150.00
Wood apple/Avocado @ Rs.12/- per glass	20	240.00
Total income		890.00

Their profit is around Rs.525/- per day. However, their incomes drop particularly during rainy season when there is less demand for cold beverages. Anthony and Hemalatha have not been able to raise the prices of their drinks over the last few years in spite of the rising costs of ingredients used in preparing juice. One of the reasons is the competition from fellow-vendors whose prices have been static.

Clients: Nearly 150 people come to Anthony and Hemalatha every day to buy cold drinks. Their clients mainly consist of vendors operating in the surrounding areas and the bus commuters. There is a greater demand for their drinks in the morning hours. Both of them make every effort to keep their business location clean and tidy. The drinking glasses are washed daily applying vim and lime.

Aspirations: Anthony and Hemalatha do not have a permanent place to operate their business nor a house to live in. They live on the encroached property and they can be ejected at any time. Thugs force them to pay a daily *kappam* of Rs.20/-. As such Anthony and Hemalatha aspire to have their own place for a house and for their business.

No
10

Kapila

The Lunch Packet Vendor

Family background:

28 year old Kapila is the father of a three-year-old daughter, and is married to Neela of the same age. Kapila and Neela are educated upto GCE (AL). Their present place of residence is a rented house in a suburb of Colombo.

Employment history:

During the civil disturbances in the country in 1989, Kapila came to Colombo to work with one of his uncles who operated a restaurant in Colombo. Kapila was assigned the task of carrying lunch packets to the Manning market for sale. He was paid Rs.150/- per day for his services. He worked here for about 4 months and returned to his parental home in the south as he fell seriously ill. When he returned to Colombo after his recovery, his uncle had recruited another person and Kapila lost his job.

Meanwhile, Neela found employment in a garment factory with the help of her sister working in the same factory for a monthly salary of Rs.4,000/- but had to give up after she gave birth to their child. The couple with their infant child was confronted with economic difficulties, Kapila decided to start a business. It was selling lunch packets at the Manning market and the experience he gathered at his uncle's restaurant prompted him to take to this business. He rented the present house for Rs.750/ a month and got down Neela's parents to help him in the business.

The enterprise:

Kapila sells 80-90 lunch packets daily to the vendors at the Manning market. He started with 20 packets and gradually increased the number of packets to meet the rising demand.

Initial capital: The initial investment for the business was around Rs.15,000/-. Kapila was able to obtain Rs.2,000/- from a friend and a loan of Rs.5,000/- on interest. The balance was found through pawning the jewellery belonging to Neela. The money was spent mainly to acquire the required equipment such as a gas cooker, pots and pans.

Operation: The cooking begins around 4.00 a.m. and all the family members help in the food preparation. Part of the preparatory work is done in the previous evening from 6.00 to 10.00 p.m. Packing is done by Kapila with the assistance of his father-in law. Kapila carries the lunch packets in a three-wheeler taxi from his home to the nearest town and from there to the Manning market by bus. The selling takes place from 7.00 a.m. to 12.00 noon. The lunch packets are of three different varieties; the packets with fish, the packets with eggs and the packets with vegetables/sprats.

Operational costs: The cost of ingredients for the preparation of 90 lunch packets per day is estimated as follows;

Cost item	Amount (Rs.)
10 kg of rice	300.00
Vegetables	200.00
Fish	300.00
15 eggs	45.00
Sprats	60.00
5 Coconuts	50.00
Coconut oil	60.00
Spices etc.	100.00
Total	1,115.00

Income and profits: Kapila sells a lunch packet at Rs.25/-. He does not change the price to keep pace with price fluctuations at the market. He tries to keep the price of his lunch packets below the market price, which is Rs.35/- at present. If he sells 90 packets a day, his total income is Rs.2, 250/-, registering a daily net profit of Rs.1, 135/-. As common to many other street food vendors, Kapila too comes up against the recovery problem at the end of the day and nearly 30% of his income is recovered only later.

Clients: Kapila has a fixed clientele comprising vendors and their helpers at the Manning market. He provides lunch packets only to his regular customers.

Aspirations: In August 2000, Kapila leased out a canteen belonging to the Railway Department. His wife and child have now moved into this new premise. One of the conditions of the lease is that he provides meals to the railway workers at subsidized prices, and the lease may not result in a high profit. However, he continues to supply lunch packets to the vendors at the Manning market. He had employed a cook with a monthly wage of Rs.5, 000/- to prepare the food. He aspires to own a three-wheeler or a motor-bicycle so that he can keep his transport costs low. Meanwhile, Neela's wish is to own a piece of land and build a house of their own.

End Notes

¹ Informal Sector

A term which is commonly used to encompass petty trading, self employment, casual and irregular wage work, employment in personal services or in very small micro enterprises in manufacturing and services. Those unable to find or retain full time regular wage employment swell the ranks of the informal sector characterized by its relative ease of entry with low capital investment requirement, and by being relatively labour intensive and unregulated. By contrast, work in the formal or modern sector refers to larger scale enterprises and employers with relatively stable employment, higher wages and more regulation of work conditions, and where workers can organize themselves more easily. Informal sector enterprises are not officially registered businesses and exist largely outside the tax system. They are often illegal.

² The figures are calculated only for statistical purposes and this may not be the most appropriate method for calculating the average incomes and profits of street food vendors given the variations observed in their incomes and profits.

³ This is disputable and there is also evidence to show that many street food vendors are not concerned about the cleanliness of the food they sell.

⁴ The prevailing market rates for manual labourers are in the range of RS 150/- to RS 200/- per 8 hours of work. Sometimes the labourers are provided with lunch as well.

⁵ It included a kerosene cooker, an aluminium ~~pot~~vessel (koraha), a tray to place fried ~~wade~~ etc.

⁶ It was observed that Raja is not very keen to maintain cleanliness. His personal appearance (clothes that he wears) as well as the immediate environment of his business operations looked unclean and non-attractive to the customers. He is a heavy smoker and spends about Rs.100/- daily on smoking

⁷ The money for the push-bicycle was found through a *cheettu*, according to Velu.

⁸ It was mentioned that nearly 50% of his regular customers do not have cash in their hand in the mornings to pay for the ~~gram~~gram, as their own business operations have not yet started. Therefore, gram packets have to be given on credit and ~~Velu has~~Velu has to spend another 2-3 hours at the market collecting money from his customers even though ~~he finishes~~he finishes his sales by 8.30 a.m.

⁹ Herbal porridge

¹⁰ A *cheettu* is an informal savings scheme operated by the villagers.

¹¹ The number of actual man hours could be even more as some of the activities such as collecting herbal leaves from the forest, cleaning and washing leaves and bottles and the preparation of *kenda* are undertaken by Gaminj and Punya jointly.

¹² A sweet-meat prepared with green gram, sugar and jaggery.

¹³ It is difficult to calculate the actual daily cost of Nimal's enterprise as the types and quantities of curries prepared are changed daily. However, the calculation shown above is made on the assumption that the bulk of the sandwiches are applied with onion curry only and the balance with butter and sugar.

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